

RARING TO INVEST

Identify Goals To Meet | Evaluate Assets To Invest | Allocate Capital & Optimise Returns

Investment Options

Broadly speaking, an investor has three options to choose from, one is investing in a fixed income instrument where returns are linear & predetermined (Eg. FD, RD, Corporate FDs, PPF, Bonds etc.). Second is, investing in assets where returns are neither linear nor predetermined (Eg. Stocks, Equity MF, Real estate, Gold, Art etc.). Third option is where returns are partly linear & partly predetermined (Eg. Hybrid Mutual Funds, Debt MF, Insurance linked Investments).

Risk & Returns!

Risk is about losing value. In investing parlance, risk means either losing capital or losing purchasing power. Fixed income instruments are largely immune from risk of losing capital. However, they are highly exposed to risk of losing purchasing power over time. On the other hand, Non-Fixed-Non-linear investments like equity, comes with a lot of uncertainty in the near term, but eventually succeeds in creating wealth as well as protects purchasing power over the longer term.

The chart depicts it here. ➡

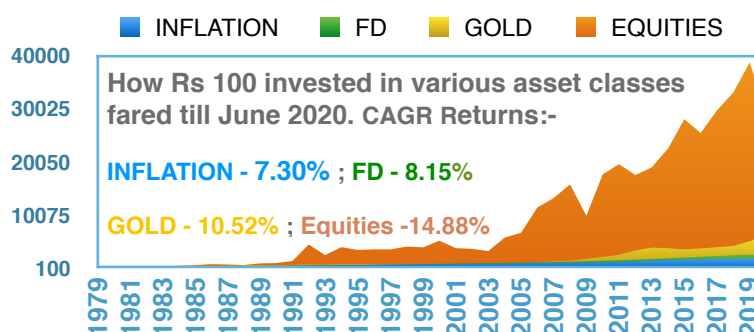


Investing

The money one sets aside from regular income is savings. Channelising that saving into an array of suitable productive instruments is investing. Pretty simple. Yet, where to invest is a perennial challenge. Investor's lack of interest in understanding the basic features of investment avenues with tendency to chase returns, is the genesis of all investing troubles. To overcome troubles, An investor must take a diversified portfolio approach to investing. Good investing is not a binary choice between assets. Invest across assets.

Four Basic Assets - Credit/ Debt, Gold, Real Estate, and Equities/ Stocks.

Each of these four assets have their peculiar features. There is no perfect asset to invest in. The returns or growth in these assets are a function of their productivity (ability to generate cash flows) and valuation (entry/exit valuation). Assets with higher productivity i.e., potential to generate higher cash flows, end up delivering higher growth over the longer term.





ESSENTIAL POINTS TO PONDER

Follow these basic tenets while investing, and you would find yourself sitting pretty!

- Objective or **Goal based investing** will go a long way in not just optimising returns but also in minimising risks.
- Go as **heavy** as possible on your **Equity (MF) allocation** at least in the first 15-20 years of your investing journey.
- **Do not use any form of Insurance for investing, Beware of nomenclatures like child plan, retirement plan,** They are expensive, less transparent & rigid. Just buy a **Term Insurance**.
- **Fixed Income** options must be considered **only for** your specific and **emergency needs**, Assess your needs and then allocate to FDs or Debt Mutual Funds.
- **Efficient investments** are those that **beat inflation on a post tax basis**. Consider taxation and inflation before investing.
- Try to understand your needs & investing options well before committing to them. **Large part of risk arises out of tendency to chase past performance**. Review & rebalance your investments periodically.

Classification of Investment avenues on the basis of Potential Returns, Volatility/ Risk, Liquidity, and Taxability.



Avenues where returns are Neither Linear Nor - Predetermined	- Derivatives, Futures & Options - Diversified Equity MF - ETFs, Index Funds - Real Estate - Balanced Funds - Gold, Precious Metals	<table><tr><td>VERY HIGH</td><td>Extreme</td><td>V HIGH</td><td>TAXED</td></tr><tr><td>HIGH</td><td>HIGH</td><td>V HIGH</td><td>Efficient</td></tr><tr><td>HIGH</td><td>HIGH</td><td>V HIGH</td><td>Efficient</td></tr><tr><td>MID-HIGH</td><td>LOW</td><td>LOW</td><td>TAXED</td></tr><tr><td>MID-HIGH</td><td>MID-HIGH</td><td>V HIGH</td><td>Efficient</td></tr><tr><td>LOW - MID</td><td>LOW-MID</td><td>HIGH</td><td>TAXED</td></tr></table>	VERY HIGH	Extreme	V HIGH	TAXED	HIGH	HIGH	V HIGH	Efficient	HIGH	HIGH	V HIGH	Efficient	MID-HIGH	LOW	LOW	TAXED	MID-HIGH	MID-HIGH	V HIGH	Efficient	LOW - MID	LOW-MID	HIGH	TAXED
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Avenues where returns are Partly Linear & Partly Predetermined	- Hybrid & MIP Funds - GILT, Bond Funds - ULIPs, Other Insurance Plans - Short Term Funds - Ultra Short Term Funds - Liquid, Instant Liquid Funds	<table><tr><td>MEDIUM</td><td>MEDIUM</td><td>V HIGH</td><td>TAXED</td></tr><tr><td>MEDIUM</td><td>LOW-MID</td><td>V HIGH</td><td>TAXED</td></tr><tr><td>LOW-MID</td><td>MID-HIGH</td><td>LOW</td><td>Efficient</td></tr><tr><td>LOW-MID</td><td>LOW-MID</td><td>V HIGH</td><td>TAXED</td></tr><tr><td>LOW-MID</td><td>LOW</td><td>V HIGH</td><td>TAXED</td></tr><tr><td>Low-STABLE</td><td>NIL-LOW</td><td>V HIGH</td><td>TAXED</td></tr></table>	MEDIUM	MEDIUM	V HIGH	TAXED	MEDIUM	LOW-MID	V HIGH	TAXED	LOW-MID	MID-HIGH	LOW	Efficient	LOW-MID	LOW-MID	V HIGH	TAXED	LOW-MID	LOW	V HIGH	TAXED	Low-STABLE	NIL-LOW	V HIGH	TAXED
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Avenues where returns are Absolutely Linear & completely Predetermined	- Fixed Maturity Plans (FMPs) - Corporate FD, NCD - Public Provident Fund - Tax Free Bonds - Fixed Deposit, RD, MIS, SCSS - Savings Account	<table><tr><td>Mid-Ranged</td><td>LOW</td><td>LOW</td><td>TAXED</td></tr><tr><td>MID -Stable</td><td>LOW</td><td>Low-MID</td><td>TAXED</td></tr><tr><td>MID - FIXED</td><td>NIL</td><td>LOW</td><td>TAX FREE</td></tr><tr><td>MID - FIXED</td><td>LOW - NIL</td><td>MidHigh</td><td>TAX FREE</td></tr><tr><td>MID- FIXED</td><td>NIL</td><td>LOW</td><td>TAXED</td></tr><tr><td>LOW - FIXED</td><td>NIL</td><td>V HIGH</td><td>MIXED</td></tr></table>	Mid-Ranged	LOW	LOW	TAXED	MID -Stable	LOW	Low-MID	TAXED	MID - FIXED	NIL	LOW	TAX FREE	MID - FIXED	LOW - NIL	MidHigh	TAX FREE	MID- FIXED	NIL	LOW	TAXED	LOW - FIXED	NIL	V HIGH	MIXED
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One Bat - Many Strokes!

Before one gets completely lost in the pictures of this Genius, let me bring you back to the bat being focussed here - Mutual Funds. Contrary to popular belief, Mutual Funds are not just about risk or equities solely, They are equally instrumental in managing and delivering tax efficient returns on your fixed income investments. So if you are looking to park money for a day or a week or for months, years, or whatever be the time frame this bat (MF) has a stroke (Scheme) to suit your required run rate (needs).

	STROKES	STRIKE RATE - (% CAGR)			GROUND CONDITIONS
	SCHEMES	1 Yr	3 Yrs	5 Yrs	
D E B T	Liquid Fund	5.18%	6.35%	6.7%	Attractive option to park funds for 1 day to 1 Yr.
	Banking & PSU	11.43%	8.47%	8.54%	Good alternative to FD. Suitable for time > 2Yrs
	GILT - 10Y CM	13.59%	9.79%	10.63%	Suitable for an informed long term investor.
G O L D	SCHEMES	3 Yrs	5 Yrs	10 Yrs	GROUND CONDITIONS
	Gold	17.93%	11.40%	8.89%	A residual asset to hedge various macro risks.
H Y B R I D	Hybrid- DAA	3.37%	5.22%	8.10%	A valuation based option for 3-5yrs of investing
	Hybrid - Aggr.	1.28%	4.79%	8.61%	An aggressive mix of D&E for 3-5yrs investment
E Q U I T Y	Large Cap	3.32%	5.07%	8.18%	An avenue to own equity in first 100 Mcap cos.
	Mid Cap	-1.38%	4.43%	11.44%	An avenue to own equity in the next 150 cos.
	Small Cap	-5.74%	3.45%	8.99%	An avenue to own equity in 251st co. onwards.
	Multi-Cap	1.30%	4.90%	9.04%	An avenue to own equity across all market caps.
	ELSS- Taxsaving	0.41	4.52%	9.18%	A Tax saving avenue with 3 yrs lock-in period.

The returns mentioned above are real average rolling returns as on 03.07.20, clocked by each of the above listed categories over the mentioned time frames. Returns over 1 year are compounded annual growth rate (CAGR).

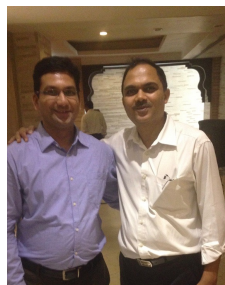
When you park money in FDs or Bonds, You have both the coupon rates as well as the tenure fixed. In case of a Debt MF, it invests across the spectrum of debt securities, like CDs, Govt. Bonds, Money market instruments etc. Since these debt funds spread their investments across different types of securities with different maturities, their returns are influenced by change in credit quality and change in interest rates. Hence, the regulator doesn't allow debt funds to guarantee any returns. However, An analyst/advisor can reasonably attempt to estimate the range of returns likely to be earned by each of these funds, based on Investment horizon, Maturity, Credit quality, Duration, and YTM of the fund etc. Superior post tax returns and flexibility makes debt funds a superior alternate to FDs for the **informed investor**.

Equities are an ownership asset. The value of this ownership is influenced by its underlying corporate and economic fundamentals as well as investors' perception and sentiment change from time to time. An equity mutual fund attempts to create an investment portfolio of equities based on its investment rationale, growth prospects and valuation of the underlying businesses. Patient investors tend to benefit the most from equity investing.

Returns are a function of many moving factors. One should avoid simple extrapolation of recent past.



Mr Ridham Desai
MD & Head Of India
Equity Strategy,
Morgan Stanley India



Mr Prashant Jain
CIO, Exec. Director,
Fund Manager
HDFC AMC



Mr Sunil Singhania
Founder Abakkus
Asset Manager LLP



Mr Nilesh Shah
Managing Director
Kotak Mahindra AMC



Dr Mark Mobius, EM Fund
Manager & Founder Of
Mobius Capital Partners

THE BIG PICTURE

India made it to the list of top 10 economies in the world in 2009, with a GDP of US\$ 1.5 Trillion. Nine years later, India is ranked 6th with a GDP of US\$ 2.8 Trillion. By 2030, India is estimated to rank 3rd with a GDP of US\$ 7.3 Trillion. Essentially it means that, the GDP that we achieved in 70 years, we are poised to achieve 2.5 times of that in next 13 years. That would propel unprecedented revenue and profit growth for many businesses. One can play this all by either setting up businesses that are likely to benefit from such an economic expansion or participate through equity investments in such businesses either by picking up shares or play it through high quality Equity Mutual Funds.

TIME & TIMING

Attempting to time the market is pretty much a futile exercise, It's extremely difficult to precisely time an entry or exit in any market based growth asset. However, one can create a lot of wealth by investing systematically over a long periods of time. Serious wealth creation takes disciplined long term investing. But, how much is this "long Term"? Well, "Long term" remains pretty much undefined, it's difficult to define "long term" in terms of months or years. One would do well to understand "Long term" as (1) An investing runway not shorter than 5-7 years, & (2) It's that period of time, within which one attains the desired investment objective with utmost efficacy of returns.

RISK (A)GAIN

Risk, rather the perception of risk is the biggest hinderance in attempting to gain from equities. The genesis of biggest investing risk lies in- (1) Mis-allocation of capital to different asset classes - Under or over allocation to any asset class. (2) Behavioural Risk - becoming too euphoric or despaired with change in market conditions. It's very important to understand that these risks are not asset specific but investor specific. Since these risks are investor specific, that's precisely the reason that different investors have different investing experience in assets like equities. To mitigate these risks, avoid over exposure and invest systematically. A systematic investor can really make it a Low Risk, High Return proposition.

Where Do I Fit In

The structure of Mutual Funds make them a great choice for anyone looking to invest in debt, gold or equity. It's a very transparent & cost efficient vehicle to invest through. However, one needs to be little selective about which schemes to invest in.

There are hundreds and thousands of Equity and Debt schemes, with different features & suitability. I try to filter all these schemes based on various quantitative and qualitative aspects. I follow a framework which attempts to read and rate funds on the basis of factors like, risk-adjusted returns over different time frames, Portfolio positioning, Fund manager's investing style and core philosophy, Quality & size of Asset management company etc. Apart from running frameworks, I frequently track and meet fund managers & management teams to better understand their portfolio positioning and it's suitability for investors.

The entire exercise doesn't guarantee a picking-up of an upcoming chart burster MF scheme, but it certainly helps in getting closer to MFs which can deliver consistently superior risk adjusted returns. For funds to invest in- request a copy of "Formidable Funds"